

back up to the top of the pattern. However, we do see a pause about half the time when a throwback occurs.

Price climbs a substantial amount for a throwback, between 11% and 15% in a week (a typical move in other chart pattern types is about 8%) before returning to the breakout price in 13 days (which is longer than normal by a day or two).

As you might expect, V-bottoms without throwbacks outperform those that have them. That's no surprise because other patterns behave the same way. The results suggest that throwbacks (and pullbacks for that matter) are not statistical glitches.

Because the rise is hefty, 11% to 15%, you may wish to swing trade the throwback. Buy into the stock by setting a buy stop at the 38.2% retrace value and sell when the stock rises 10%. The median rise is 9%, by the way (bull market).

Gaps. Breakout day gaps push the stock upward in bull markets, but retard performance in bear markets. Because I set the breakout at an arbitrary value (38.2% retrace of the downward plunge on the left side of the pattern), I don't place much value in gaps for this pattern.

[Table 69.5](#) shows performance sorted by height and width.

Height. Tall patterns outperform in both market conditions (bull, bear). The differences are startling. Choose a tall pattern in bull markets and you stand to make almost double what a short pattern will bring. That's if you trade it perfectly and often enough; even so, it's a huge difference. You can compute what the breakout price will be. Divide the pattern's height by the breakout price. If the result is higher than the median shown in the table, then you have a tall pattern. However, just because your pattern is tall is no guarantee that it'll outperform, so keep that in mind.

Width. In many types of chart patterns, wide patterns outperform short ones. Unfortunately, you won't know when the pattern will end, so you won't know ahead of time if the pattern is wide or narrow. However, if the move from the top of the pattern (the start) to the breakout is longer than the median width listed in the table, then you have a wide pattern. That's how I measured width (from pattern top to breakout).